

BATFS

Past Paper Revision Series

Topic-based Past Paper Practice

Module 3

Basics of Personal Financial Management



Heung To Middle School

Book 1.3

CONTENTS

Topic	Page
401.1 Management Functions	2
401.2 Effective Management	17
402 Key Business Functions	26
403 Small and Medium Enterprises (SMEs)	32

401.1 Management Functions

Multiple Choice Questions

1. DSE2012 – 6

Which of the following is not part of the process of controlling in a sales department of a business?

- A. set sales targets
- B. assign salespersons to different sales teams
- C. record sales of each salesperson
- D. adjust sales target

2. DSE2014 – 17

Mr Chan is the general manager of a large supermarket chain. He sets a target

for the chain: “We will increase the sales volume of the Kowloon area by 10% as soon as possible.” Which of the following criteria for setting good objectives is/are NOT met in this target?

- (1) specific
- (2) time-bound
- (3) measurable

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

3. DSE2015 – 3

Susan is the supervisor of a group of fashion designers in a garment firm. She only gives broad directions to the designers, allowing them to complete the assigned tasks in their own ways.

Susan is adopting the _____ style of leadership.

- A. Autocratic
- B. Centralised
- C. Laissez-faire
- D. Participative

4. DSE2015 – 6

Which of the following show the importance of management?

- (1) Enhance the efficient use of resources of the business
- (2) Help staff achieve the goal of the business effectively
- (3) Prevent the business from being affected by external factors

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1),(2) and (3)

5. DSE2016 – 2

Which of the following are the characteristics of a flat organisation as opposed to a tall organisation?

- (1) wider span of control
- (2) fewer levels of management
- (3) shorter decision-making process

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

6. DSE2016 – 3

In a company with departmentalisation by geographical location,

- A. departmental offices are set up in the regions which the department oversees.
- B. departmental managers are responsible for business operations in the regions which the department oversees.
- C. departmental outlets only sell goods produced in the regions which the department oversees.
- D. departmental staff is only recruited from the regions which the department oversees.

7. DSE2016 – 7

Under which of the following circumstances should autocratic leadership be adopted by management?

- (1) Subordinates are only responsible for repetitive and simple jobs.
- (2) Subordinates are willing to take responsibility.
- (3) The company always needs to make quick decisions.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

8. DSE2016 – 8

The front-line manager is responsible for

- (1) making strategic decisions.
- (2) monitoring the daily operations of the business.
- (3) formulating corporate policies and directions.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

9. DSE2016 – 22

Which of the following are the benefits of defining the goal of a project?

- (1) provide clear directions to employees
- (2) help control the progress of work and monitor the performance of employees
- (3) reduce employees' workload

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

10. DSE2017 – 27

Which of the following is not an advantage of adopting democratic leadership for a business?

- A. Enhance operational efficiency
- B. Widen manager's exposure
- C. Strengthen staff support for business policies
- D. Improve mutual understanding between management and staff

11. DSE2018 – 5

The following are the tasks required for quality control:

- (1) measure the actual rate of defective items by sampling
- (2) find reasons and take follow-up measures if the actual rate of defective items is higher than the acceptable level
- (3) set the acceptable rate of defective items
- (4) compare the actual rate of defective items with the acceptable rate

The sequence of the quality control procedure should be:

- A. (1) → (3) → (2) → (4)
- B. (1) → (4) → (3) → (2)
- C. (3) → (1) → (2) → (4)
- D. (3) → (1) → (4) → (2)

12. DSE2018 – 26

A car retailer sets the following sales target for its new car model:

‘50% of Hong Kong drivers will buy our new car model in 2019.’

Which of the following criteria for setting good objectives is/are fulfilled in this sales target?

- (1) specific
 - (2) measurable
 - (3) attainable
-
- A. (2) only
 - B. (3) only
 - C. (1) and (2) only
 - D. (1) and (3) only

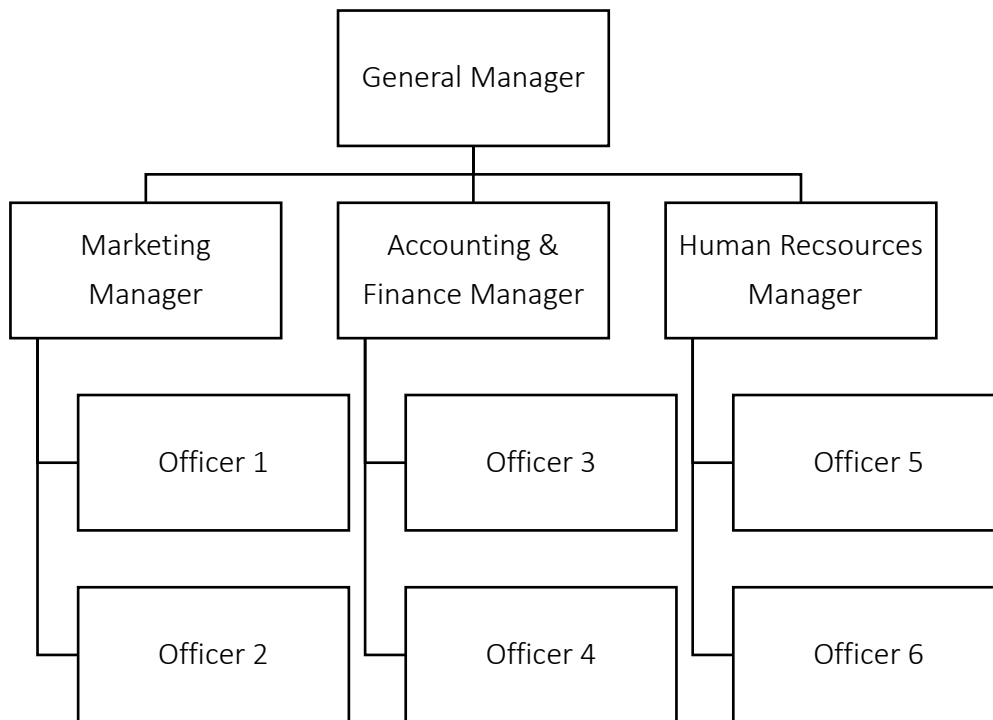
13. DSE2019 – 27

A manager compares the actual performance of the staff with the performance standard. Which of the following management functions does the task belong to?

- A. Leading
- B. Organizing
- C. Planning
- D. Controlling

14. DSE2019 – 30

The organisation chart of a company is as follows:



Which of the following statements are correct?

- (1) The company is departmentalised by function
- (2) The span of control of the General Manager is nine
- (3) The General Manager has line authority over the Marketing Manager.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

15. DSE2020 – 2

What is the importance of management to a business?

- (1) optimise utilisation of organisational resources
- (2) establish sound organisational structure
- (3) achieve organisational goals effectively

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

16. DSE2020 – 6

Which of the following descriptions of a SMART goal are correct?

- (1) It should be quantified.
- (2) There should be an expected completion time.
- (3) The methods of achieving the goal should be stated clearly.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

17. DSE2020 – 12

A bank has the following departments: deposit, loan, credit card, investment and personal financial planning. Under the personal financial planning department, there are Hong Kong Island, Kowloon and New Territories divisions. State the forms of departmentalisation adopted by the bank.

- (1) by product
- (2) by function
- (3) by location

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

18. DSE2020 – 26

The number of staff in Firm A and Firm B are the same. Firm A has a flat organisational structure while Firm B has a tall organisational structure. Which of the following statements is/are correct?

- (1) Firm A is more responsive to market changes.
- (2) There are more levels of management in Firm A.
- (3) There are more managers in Firm A.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

19. DSE2020 – 29

Under which of the following circumstances should laissez-faire leadership be adopted by a superior?

- (1) the work requires a high level of creativity
- (2) subordinates are young and energetic
- (3) superior-subordinate relationship is good

- A. (1) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

20. DSE2021 – 2

Product departmentalisation means _____.

- A. different departments serve customers of different countries
- B. different product lines are developed for different markets
- C. workers are divided according to the stage of production
- D. the production, marketing and other related tasks of a product are grouped under a manager

21. DSE2021 – 5

Which of the following is not a benefit of delegation?

- A. increases subordinates' job satisfaction
- B. improves the relationship between superior and subordinates
- C. provides training opportunities for subordinates
- D. allows superiors to focus on important tasks

22. DSE2021 – 17

A newly-established electric car manufacturer sets the following target:

‘We shall become the leader in the electric car market next year.’

Which of the following criteria for good objectives is/are fulfilled in the target?

- (1) specific
- (2) time-bound
- (3) measurable

- A. (1) only
- B. (2) only
- C. (3) only
- D. (1) and (2) only

23. DSE2021 – 25

The production manager of a factory decided to produce 1 000 units of products by the end of 2021. He has arranged the production schedule and deployed the necessary resources and manpower. Which step in the planning process will be undergone next?

- A. evaluate alternatives
- B. formulate the action plan
- C. implement the action plan
- D. set the goal

24. DSE2022 – 15

Which of the following statements about line authority and staff authority is/are correct?

- (1) The operations manager has line authority over sales assistants.
- (2) The information manager has staff authority to support the marketing manager.
- (3) The human resources manager has line authority over all staff.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

25. DSE2022 – 18

Susan is the General Manager of a trading company. There are two Assistant General Managers supervising three and four department managers respectively. Each department manager supervises more than ten front-line staff.

Based on the above information, which of the following statements about the company is correct?

- A. The span of control of Susan is nine.
- B. It is a small and medium enterprise.
- C. It is a flat organisation as compared with a company of three layers.
- D. Its decision-making process is relatively slower than that of a company of similar size with three layers.

26. DSE2022 – 23

Ken is a senior designer at a firm which designs games and applications for mobile phones. Most of the staff of the firm are creative, experienced and self-disciplined. Ken provides guidance to the designers and reviews their programme design drafts. He then discusses the review results with the designers and invites them to participate in the selection of the programme designs.

Based on the above information, Ken is adopting:

- A. unity of command
- B. unity of direction
- C. laissez-faire leadership
- D. democratic leadership

27. DSE2023 – 2

Which of the following statements about authority and responsibility is/are correct?

- (1) Delegation is the assigning of authority and responsibility to the subordinates.
- (2) Front-line managers require authority to carry out their responsibilities.
- (3) Managers with a wider span of control possess more authority.

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

28. DSE2023 – 8

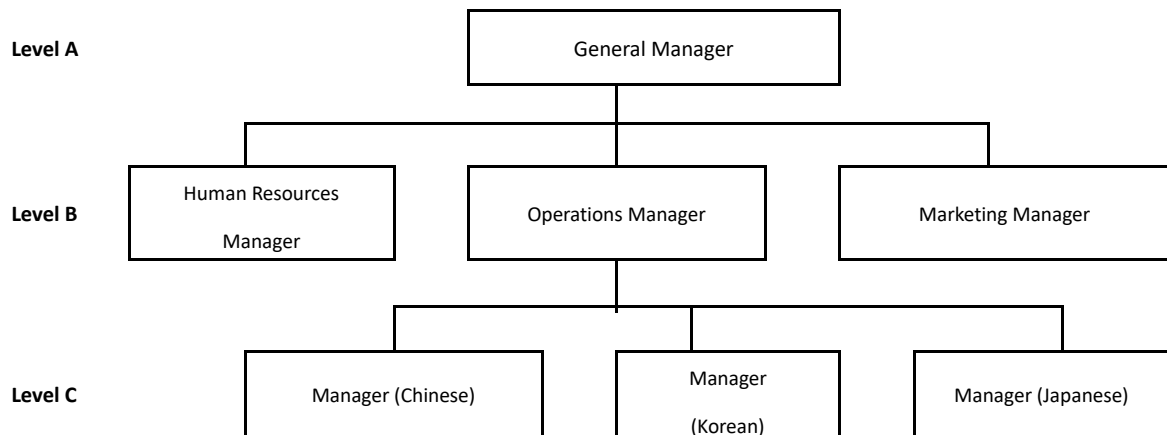
Compared to an autocratic leadership, which of the following is/are advantage(s) of adopting democratic leadership in an organisation?

- (1) It increases efficiency in making decisions.
- (2) It facilitates communication between superiors and subordinates.
- (3) It induces subordinates' work initiative.

- A. (1) only
- B. (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

29. DSE2023 – 30

Yummy Group is a local restaurant chain which offers Chinese cuisine, Korean cuisine and Japanese cuisine to customers in different restaurants. Its organisation chart is shown as below:



The Human Resources Manager has (1) authority over the Operations Manager.

Level C is departmentalised by (2).

- | | (1) | (2) |
|----|-------|----------|
| A. | staff | product |
| B. | staff | location |
| C. | line | product |
| D. | line | location |

30. DSE2024 – 2

Compared with a firm of a flat structure of similar size, which of the following statements about a firm of a tall structure are correct?

- (1) There are more middle managers.
- (2) It is able to respond quicker to market changes.
- (3) Managers supervise fewer immediate subordinates.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

31. DSE2024 – 6

Johnny has just graduated. He joined the creative team of an advertising company. His supervisor gives him basic work instructions only. Johnny can make the final decisions about the details of the advertising campaigns.

Based on the above information, the supervisor of Johnny is adopting the _____ style of leadership and _____.

- A. democratic; Johnny has higher level of job satisfaction
- B. democratic; there is lack of cooperation among team members
- C. laissez-faire; Johnny will become passive at work
- D. laissez-faire; Johnny may feel frustrated when facing challenges

32. DSE2024 – 11

A firm assigns a group of newly-recruited staff to different departments. Which of the following management functions does the task belong to?

- A. planning
- B. organising
- C. leading
- D. controlling

Short Questions

1. DSE2012 – 7(b)

Mary is an experienced designer who has a wide customer network. She is considering setting up a small interior design firm on her own. At the same time, another designer, Paul, invites her to form a partnership.

- (b) Mary finally sets up the interior design firm on her own. List two criteria for setting good business goals for her. Explain each with an example. (4 marks)

2. DSE2015 – 1(a)

Annie operates a small guest house on Lamma Island for foreign travellers. She sets up an Internet booking system for the guest house, with the following goal:

'To increase the number of Internet bookings substantially in the near future'

- (a) Briefly explain two characteristics of a SMART goal that are missing from the above goal. (4 marks)

3. DSE2015 – 4(b)(c)

Peter plans to expand the business and set up three departments to take care of the garment business in Hong Kong, Macau and Shenzhen respectively. A business consultant reminds him that other forms of departmentalisation may also be considered.

- (b) State the form of departmentalisation planned by Peter. (1 mark)

- (c) Briefly describe two other forms of departmentalisation that could be adopted by Peter's business. (4 marks)

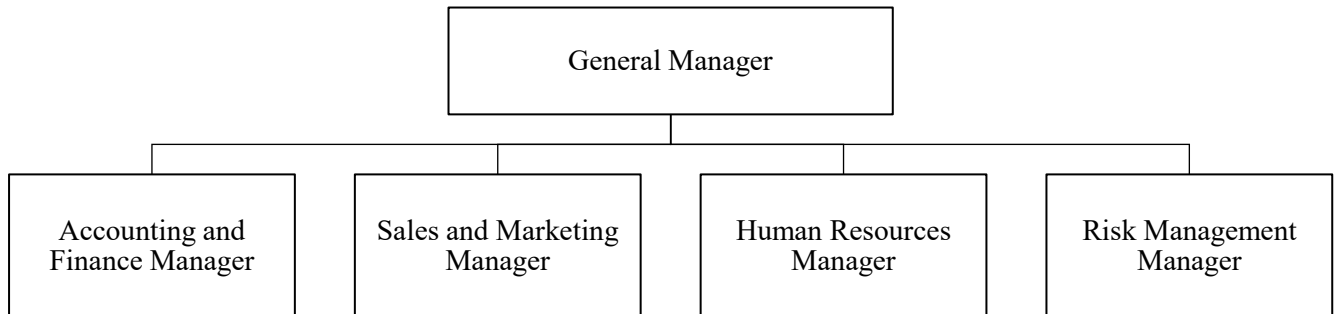
4. DSE2016 – 5(c)

A business consultant advises John to improve the controlling functions of his supermarket.

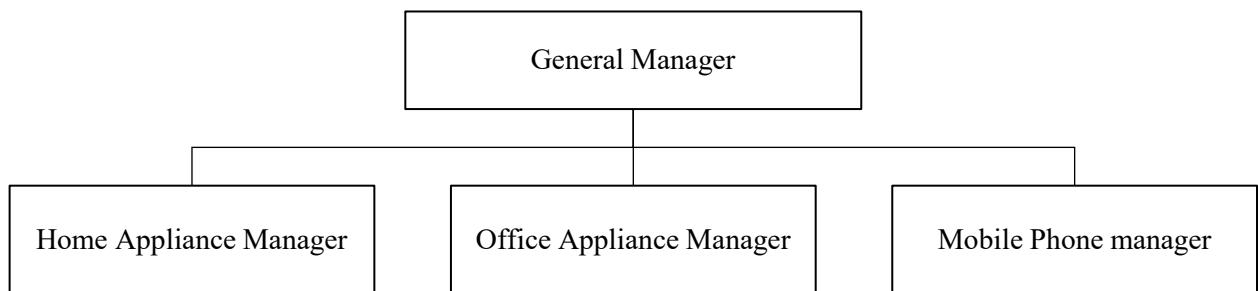
- (c) (i) What is the purpose of controlling in management? (1 mark)
(ii) List the steps in the controlling process. (4 marks)

5. DSE2017 – 3(a)(b)

Company A and Company B are retail business selling electrical appliances. Their organisation charts are as follows:



Company A



Company B

(a) State the form of departmentalisation adopted by the two companies:

(i) Company A

(ii) Company B

(2 marks)

(b) Which of the General Managers of two companies above has a wider span of control?

(1 mark)

6. DSE2017 – 5(a)

John commenced a firm selling grocery and household products on 1 January 2016. Three employees were hired for the operation of the firm.

A business consultant advised John to set goals for his firm.

(b) State the management function that the task of setting goals for John's firm belongs to.

(1 mark)

(c) Explain two reasons why John should set goals for his firm.

(4 marks)

7. DSE2018 – 4(b)(c)

The staff of the research and development department in the firm may freely design different computer software products, but the selection of the new product designs is done by Mandy alone, without involving any other staff.

(b) State the leadership style adopted by Mandy. (1 mark)

(c) Explain two disadvantages of the leadership style adopted by Mandy. (4 marks)

8. DSE2019 – 2(b)

In 2019, Johnny established a firm selling cooking utensils in Hong Kong, with the following goal:

'All Hong Kong people will know our brand name by the end of 2020.'

(b) The above goal is not a SMART goal. Explain two SMART goal characteristics that are not demonstrated by this goal. (4 marks)

9. DSE2021 – 5(B)(c)(d)(i)(ii)

Lucky Company is a small and medium enterprise with three departments: human resources department, marketing department and production department.

(c) Draw an organisation chart to show the departmentalisation of Lucky Company. (1 mark)

(d) (i) Which department manager in Lucky Company possesses both line authority and staff authority? (1 mark)

(ii) Explain how the manager mentioned in (d)(i) above exercises line authority and staff authority. (2 marks)

10. DSE2022 – 3(a)

Below is a dialogue which appeared in a meeting between three department managers of a business selling luxury jewellery.

Marketing Manager: Our department goal next year is to expand the customer base of the young women segment significantly. In line with this, we are going to invite a hit boy band to serve as our brand ambassador.

Risk Manager: Can young ladies afford our luxury products? Will the boy band appeal to our mature and loyal customers?

Information Manager: Don't worry! We can conduct marketing research. My department will give full support for this!

(a) Explain one characteristic of an effective goal that the Marketing Manager may have overlooked in setting the above goal. (2 marks)

11. DSE2022 – 5(a)

On 1 January 2022, Cherry commenced a business selling health supplements. She also works as the General Manager of the business. There are three departments in the business: the Sales and Marketing Department; the Purchasing and Storing Department; and the Administration and Finance Department. Two branches are under the charge of the Sales and Marketing Department: wholesale and retail.

- (a) Draw an organisation chart to show the organisation structure of Cherry's business. (2 marks)

12. DSE2023 – 3(a)(i)(ii)

A firm produces packaged dumplings. Below is an extract of the minutes of a monthly meeting:

Review of last quarter's production data:

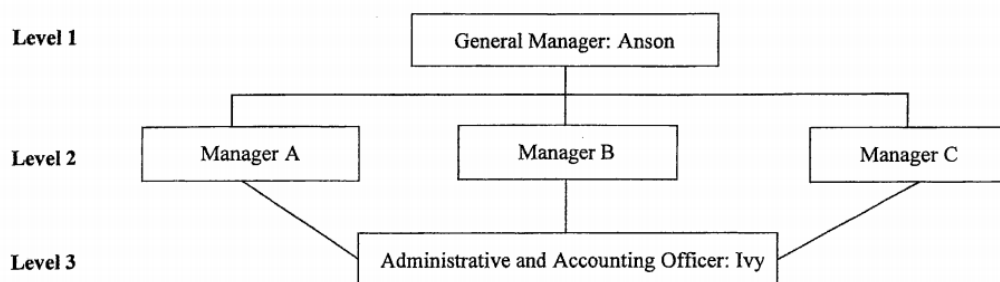
- The general manager pointed out that the actual total output of last quarter was significantly lower than expected.
- The production manager responded: To increase productivity, the production department started assigning workers to different teams last week. Each team is only responsible for one particular production task.

- (a) (i) Which management function was performed by the managers in the above scenario? (1 mark)
- (ii) With reference to the management function in (a)(i), state the respective step taken by the general manager and the production manager. (2 marks)

13. DSE2024 – 4(a)

Anson is the General Manager of a trading firm which sells car batteries in Hong Kong, Macao and the Mainland. Under Anson, there are three departments headed by Managers A, B and C, who are responsible for the business of the three regions respectively.

The organization chart of the firm is as follows:



- (a) Identify the form of departmentalisation adopted by the firm at Level 2. (1 mark)

401.2 Effective Management

Multiple Choice Questions

1. DSE2012 – 19

Which of the following are benefits of applying Management by Objectives in a business?

- (1) improved communication between management and staff
- (2) better staff morale
- (3) enhanced monitoring of staff performance

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2. DSE2013 – 8

Which of the following statements are correct?

- (1) Authority can be assigned to subordinates.
- (2) Authority is the right to direct and make decisions.
- (3) Front-line staff do not need authority to perform their duties.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

3. DSE2014 – 21

Which of the following are advantages of management by objectives(MBO)?

- (1) It reduces paperwork.
- (2) It enables better control of subordinates' work progress.
- (3) It helps to enhance coordination between different levels.

- A. (1) and (2)
- B. (1) and (3)
- C. (2) and (3)
- D. (1), (2) and (3)

4. DSE2016 – 10

Which of the following statements about “division of work” are correct?

- (1) It facilitates automation of production.
- (2) It makes it easier for managers to supervise the production process.
- (3) It makes it easier for workers to master the production process they are responsible for.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

5. DSE2016 – 24

Which of the following statements about “unity of command” is correct?

- A. Each manager takes up one project only.
- B. Each subordinate directly reports to one supervisor only.
- C. All employees are working towards the same goals.
- D. All employees receive the same instructions when assigned the same tasks.

6. DSE2017 – 4

Which of the following statements about business management are correct?

- (1) Under the unity of command principle, each employee only receives orders from one superior.
- (2) A tall organisation has more layers than a flat organisation.
- (3) Communication between superiors and subordinates can be improved by adopting Management by Objectives.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

7. DSE2017 – 24

Which of the following statements about ‘unity of direction’ is correct?

- A. Each supervisor is responsible for one project at a time.
- B. Each employee works towards one goal in each period.
- C. Employees working on the same project have the same goal.
- D. The goals of a business should be accomplished within a reasonable time frame.

8. DSE2018 – 11

A trading firm is departmentalised by function. At the beginning of every year, the General Manager and the department managers discuss and formulate the departmental objectives together so as to achieve the overall target of the firm. Regular reviews are conducted by them to see whether the departmental objectives have been achieved as planned.

Based on the above information, which of the following principles of effective management are used by the firm?

- (1) balancing authority and responsibility
- (2) management by objectives
- (3) division of work

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

9. DSE2018 – 16

Which of the following are the advantages of adopting 'management by objectives' by a business?

- (1) enhance the subordinates' job satisfaction
- (2) lower the administrative cost
- (3) reduce work delays

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

10. DSE2018 – 27

Which of the following statements about 'authority' is/are correct?

- (1) An operations manager has staff authority over his/her subordinates.
- (2) A human resources manager has line authority over the plant manager.
- (3) An accounting manager has line authority over his/her subordinates.

- A. (2) only
- B. (3) only
- C. (1) and (2) only
- D. (1), (2) and (3)

11. DSE2019 – 3

Which of the following statements about 'management by objectives' are correct?

It can enhance staff morale.

It can facilitate communication between superiors and subordinates.

It allows superiors to focus on more important tasks.

A. (1) and (2) only

B. (1) and (3) only

C. (2) and (3) only

D. (1), (2) and (3)

12. DSE2020 – 7

There are different departments in a company. One of the goals of the company is to improve the service quality of its salespersons. For this reason, the human resources manager of the company assigned her subordinate, Tim, to design training programmes for the salespersons. Tim reports to the human resources manager only. Which of the following principles of effective management are illustrated in this scenario?

(1) Unity of direction

(2) Unity of command

(3) Division of work

A. (1) and (2) only

B. (1) and (3) only

C. (2) and (3) only

D. (1), (2) and (3)

13. DSE2020 – 17

Which of the following statements about authority and responsibility are correct?

(1) For a job position, responsibility should be balanced with authority.

(2) Authority and responsibility of managers increase progressively from low-level to top-level.

(3) Delegation is the assigning of authority and responsibility of work from the superior to the subordinates.

A. (1) and (2) only

B. (1) and (3) only

C. (2) and (3) only

D. (1), (2) and (3)

14. DSE2021 - 8

Which of the following is a benefit brought about by the respective principle of effective management?

<u>Principle</u>	<u>Benefit</u>
A. balancing authority and responsibility	improve communication between employees
B. division of work	reduce production delays
C. unity of command	less confusions in work
D. management by objectives	reduce administrative work

15. DSE2022 – 7

Which of the following are advantages of adopting 'management by objectives'?

- (1) It reduces the workload of subordinates.
- (2) It facilitates the monitoring of the progress of subordinates' work.
- (3) It motivates subordinates to achieve the company's goals.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

16. DSE2023 – 13

Which of the following statements about 'unity of direction' is/are correct?

- (1) It helps build up team spirit.
- (2) It avoids conflicting instructions given by two superiors.
- (3) It involves extra administrative work as managers need to conduct a periodic review of work progress of their subordinates.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

17. DSE2024 – 17

'Division of work' enhances the production efficiency of a factory because

- A it saves time by not having the staff to switch from task to task
- B. it leads to a higher level of inter-dependency between different tasks
- C. it helps reduce delays in the production process
- D. the staff morale will improve

Short Questions

1. DSE2013 – 6

Explain three ways in which division of work could enhance the efficiency of a manufacturing company.(6 marks)

2. DSE2013 – 7

In the sales department of a firm, the manager and the sales representatives discussed and agreed on the sales target for a quarter. Throughout the quarter, the manager met the sales representatives regularly to discuss problems encountered and gave appropriate support. At the end of the quarter, the manager reviewed the performance of the sales representatives and gave them rewards and feedback.

(a) Name the principle of effective management applied in the above sales department. (1 mark)

(b) From the sales department's point of view, explain two advantages of applying the principle of effective management named in (a). (4 marks)

3. DSE2014 – 6(b)

(Sunshine Department Store) Two managers of the same rank, David and Ellen, together supervise all the shop assistants. One day, an assistant in the sportswear section took sick leave and David assigned a newly employed assistant to take her place. He asked her to serve customers in the section for the rest of the day. At noon, Ellen asked this assistant to deliver a document to a supplier.

(b) (i) What principle of effective management has been violated in the above case? (1 mark)

(ii) Suggest two problems that might arise when the principle in (i) is violated. (4 marks)

4. DSE2016 – 4(c)

A business consultant advises John to adopt Management by Objectives in his supermarket.

(c) (i) How are objectives set under Management by Objectives in John's supermarket? (1 mark)

(ii) Explain one advantage and one disadvantage of adopting Management by Objectives in John's supermarket. (4 marks)

5. DSE2018 – 5(b)(c)

During the year, Vincent's firm aims to reduce costs. However, the marketing manager wants to launch a large-scale sales promotion campaign. The budgeted cost of the campaign is 50% of last year's sales.

(b) State the principle of effective management that has been violated in the above case. (1 mark)

(c) Explain two reasons for adopting the principle of effective management in (b) above. (4 marks)

6. DSE2019 – 4(c)(d)

In the production department of Au's firm, the garment manufacturing process involves many tasks, including cutting, sewing and packaging. Each worker is responsible for one task only.

(c) State the principle of effective management adopted in the production department. (1 mark)

(d) Explain two advantages for the production department of adopting the principle of effective management in (c) above. (4 marks)

7. DSE2019 – 5(c)(d)

Ken is the accountant at Au's firm. One day, Ken asked an accounting clerk, Ming, to prepare a cost analysis and report in the afternoon. At the same time, the office manager instructed Ming to compile a filing index in that afternoon.

(c) State the principle of effective management violated in the above case. (1 mark)

(d) If the principle of effective management in (c) above was adopted, explain two advantages for Au's firm. (4 marks)

8. DSE2020 – 1(b)(i)(ii)

High-Tech Company is a small and medium enterprise which specialises in developing data processing systems for businesses in Hong Kong. At the commencement of each quarter, the project manager and the programmers discuss and decide on the work plan of the quarter. Throughout the quarter, they review the work progress regularly and identify the difficulties encountered.

(b) (i) State the principle of effective management adopted by High-Tech Company in the above scenario. (1 mark)

(ii) Explain two advantages for High-Tech Company of adopting the principle of effective management in (b)(i) above. (4 marks)

9. DSE2021 – 4(B)(c)(i)(ii)

Fancy Company sells computers and accessories. At the beginning of 2021, the General Manager announced the goal of cutting overall costs by 30% in one year. The marketing department reduced budgeted promotion expenses by 25%; the operations department sourced cheaper suppliers to reduce total purchase cost by 15%; and the human resources department planned to streamline the company's structure to save 20% of labour costs.

- (c) (i) Apart from division of work, state the principle of effective management applied in the above case. (1 mark)
- (ii) Explain two advantages for Fancy Company of applying the principle in (c)(i) above. (4 marks)

10. DSE2023 – 3(b)(i)(ii)

A firm produces packaged dumplings. Below is an extract of the minutes of a monthly meeting:

Review of last quarter's production data:

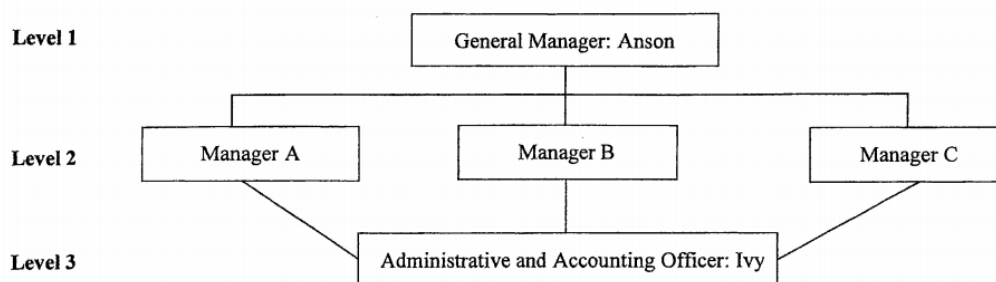
- The general manager pointed out that the actual total output of last quarter was significantly lower than expected.
- The production manager responded: To increase productivity, the production department started assigning workers to different teams last week. Each team is only responsible for one particular production task.

- (b) (i) Identify the principle of effective management adopted by the production manager. (1 mark)
- (ii) List two reasons why the principle of effective management in (b)(i) could increase productivity. (2 marks)

11. DSE2024 – 4(b)(i)(ii)

Anson is the General Manager of a trading firm which sells car batteries in Hong Kong, Macao and the Mainland. Under Anson, there are three departments headed by Managers A, B and C, who are responsible for the business of the three regions respectively.

The organization chart of the firm is as follows:



- (b) With reference to the above organisation chart,
- (i) state the principle of effective management that has been violated. Explain why. (2 marks)
- (ii) explain one problem that may result from the violation of the principle in (b)(i). (2 marks)

12. DSE2024 – 5(c)(i)(ii)(iii)

The following is a conversation between the owner of Sing Kee, Kenny, and his consultant, Ian.

Kenny: To improve the chain's performance, I plan to set a sales goal for the whole chain.

Ian: You can involve the chain's managers and their subordinates to set the sales goal together. It will also improve the communication in your firm.

Kenny: Are there any disadvantages of doing so?

- (c) (i) Identify the principle of effective management adopted in Ian's proposal. (1 mark)
- (ii) From the chain's point of view, explain why the application of the principle of effective management in (c)(i) would improve the communication in Sing Kee. (2 marks)
- (iii) Explain one disadvantage for Sing Kee of adopting the principle of effective management in (c)(i). (2 marks)

402 Key Business Functions

Multiple Choice Questions

1. DSE2012 – 15

A human resources manager is responsible for

- (1) designing a performance appraisal system.
- (2) developing the skills and talents of staff.
- (3) arranging workflow.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2. DSE2013 – 13

Which of the following tasks are performed by the marketing department of a company?

- (1) conducting surveys on customer needs
- (2) deciding the price of the product
- (3) paying bonus to salespersons

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

3. DSE2014 – 25

Conducting questionnaire surveys to understand customers' needs is a part of _____.

- A. operations management
- B. marketing management
- C. information management
- D. risk management

4. DSE2015 – 13

Which of the following tasks are performed by the finance department of the company?

- (1) Make investment decisions for the company
- (2) Formulate debt collection policy of the company
- (3) Set up staff's compensation system of the company

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1),(2) and (3)

5. DSE2015 – 21

An operations manager of a company is responsible for.

- (1) Assigning jobs to the factory workers
- (2) Projecting the demand for the products
- (3) Setting up assembly lines for the plant

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (1),(2) and (3)

6. DSE2017 – 8

Which of the following tasks is/are performed by the information management department of a company?

- (1) Designing a file storage system for the training records of the human resources department
- (2) Assisting the marketing department to process market research data
- (3) Preparing the budget for the finance department

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

7. DSE2018 – 9

Which of the following are the main functions of a marketing department of a company?

- (1) plan marketing research
- (2) formulate pricing strategy for the products
- (3) control product quality

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

8. DSE2019 – 7

A company is going to launch a new product in the market. Its Finance Manager is responsible for?

- (1) setting the price of the new product
- (2) seeking funds to launch the new product
- (3) preparing budgets for the new product

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

9. DSE2020 – 21

Which of the following statements is not correct?

- A. The human resources department recruits an accounting clerk according to the requirements set by the finance department.
- B. The information management department uses data collected by the marketing department to set the product price.
- C. The risk management department assesses the risks of using tools and machinery for the operations department.
- D. The finance department obtains a loan for the operations department to expand production capacity.

10. DSE2021 – 28

A Mainland frozen food company plans to establish a branch in Hong Kong. Which of the following is/are the support provided by the company's information manager to the marketing manager?

- (1) process data about the frozen food market in Hong Kong
- (2) collect information about suppliers of freezing systems
- (3) set up a salary scheme for the salespersons

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

11. DSE2022 – 22

A large company has different functional departments. Which of the following tasks are performed by the finance department of the company?

- (1) monitoring the cash flows of the company
- (2) reviewing the budgets for upgrading the information management system
- (3) determining the salary level of accounts clerks

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

12. DSE2024 – 24

A company has different functional departments, including the finance department, the information management department, the risk management department and the operations department. Which of the following tasks is/are performed by the finance department of the company?

- (1) sourcing funds for installing a database server
- (2) claiming compensation from the insurance company
- (3) estimating cash flows brought by the acquisition of a new machine

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (1), 2) and (3)

Short Questions

1. DSE2012 – 2

Mr Ho is a toy manufacturer. Recently, he has received a number of complaints from his customers about paint peeling off from his toys. A management consultant tells Mr Ho that having good operations management can reduce the number of defective items.

In what ways could operations management help Mr Ho to reduce the number of defective items? Give two ways. (4 marks)

2. DSE2013 – 4

Information management can support the human resources department of a company in different ways. List three of them. (3 marks)

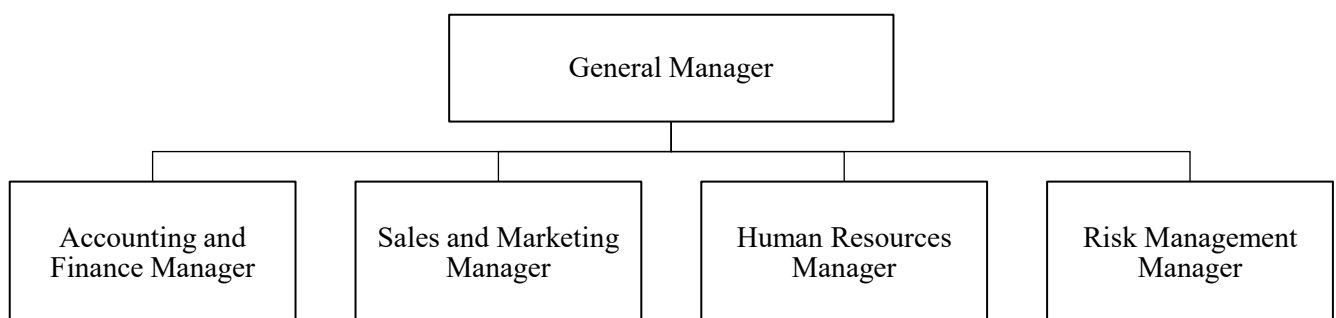
3. DSE2014 – 2(b)

Superfast Company provides software and system development services and has about 100 employees. Daniel, the owner and general manager of the firm, is a computer specialist and has involved himself heavily in the software and system development work. A business consultant advised him that as the general manager of the company, he should be aware of the relative importance of the technical, conceptual and interpersonal skills. Also, the company should set up a marketing department to help reduce his workload.

(b) State two functions of a marketing department in Superfast Company. (2 marks)

4. DSE2017 – 3(c)

Company A is retail businesses selling electrical appliances. Their organisation charts are as follows:



Recently, the warehouse of Company A caught fire, which led to substantial losses.

(c) Which department of Company A should be responsible for claiming insurance compensation? Explain one main role of this department in the company. (3 marks)

5. DSE2022 – 3(b)

Below is a dialogue between the Marketing Manager, Risk Manager and Information Manager of a business selling luxury jewellery.

Marketing Manager: Our department goal next year is to expand the customer base of the young women segment significantly. In line with this, we are going to invite a hit boy band to serve as our brand ambassador.

Risk Manager: Can young ladies afford our luxury products? Will the boy band appeal to our mature and loyal customers?

Information Manager: Don't worry! We can conduct marketing research. My department will give full support for this!

- (b) How could the Risk Management Department and the Information Management Department help the Marketing Department to achieve its department goal? Explain one way for each department how they could help. (4 marks)

6. DSE2023 – 4(c)

Henry's firm received a report that a high bacteria level was found in its bottled juices. Henry decided to recall the bottled juices and offer refunds to customers. Henry urged the Operations Department to find ways to deal with the problem.

- (c) With reference to the functions of the Operations Department, explain two ways that Henry's firm could deal with the above problem. (4 marks)

403 Small and Medium Enterprises (SMEs)

Multiple Choice Questions

1. DSE2012 – 4

The ownership of Small and Medium Enterprises (SMEs) can take different forms. SMEs

- (1) cover market segments which are not served by large companies.
- (2) provide more employment opportunities to local workers than large companies.
- (3) enjoy a lower tax rate than large companies.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

2. DSE2013 – 11

Which of the following statements regarding Small and Medium Enterprises (SMEs) in Hong Kong is correct?

- A. SMEs enjoy a lower tax rate.
- B. SMEs can be listed on the stock exchange.
- C. SMEs are involved in primary and secondary production only.
- D. SMEs do not hire more than twenty employees.

3. DSE2014 – 6

Which of the following statements about the small and medium enterprises (SMEs) in Hong Kong are correct?

(1) An SME employs fewer than 50 persons. (2) SMEs contribute a majority of employment opportunities in Hong Kong. (3) SMEs often provide products and services that complement large companies.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

4. DSE2014 – 22

Horace worked in an information technology firm for a number of years. Last year, he redesign and set up his own business providing computer repair services. His services is highly appreciated by customers but some of them comment that Horace often use technical jargon, which they find hard to understand.

Which of the following are the entrepreneur characteristics demonstrated by Horace?

- (1) seek new opportunities
- (2) desire for independence
- (3) receptive to innovative ideas

- A. (1) and (2)
- B. (1) and (3)
- C. (2) and (3)
- D. (1), (2) and (3)

5. DSE2015 – 11

Which of the following is/are the characteristic(s) of small and medium enterprises (SMEs) in Hong Kong?

They are responsive to market changes.

They have a tall-type organisational structure.

Their tax rate is different from that of large companies

- A. (1) only
- B. (2) only
- C. (1) and (2) only
- D. (2) and (3)

6. DSE2016 – 20

Which of the following illustrate the importance of small and medium enterprises to the local economy?

- (1) They provide materials and services to large businesses.
- (2) They provide unique products to satisfy the needs of the Hong Kong market.
- (3) They provide the major source of tax income for Hong Kong.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

7. DSE2017 – 14

Which of the following illustrate the importance of entrepreneurship in business development?

- (1) Reduce business risks
- (2) Promote economic growth
- (3) Encourage innovation

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

8. DSE2017 – 20

Which of the following statements about small and medium enterprises (SMEs) in Hong Kong are correct?

- (1) The majority of businesses in Hong Kong are SMEs.
- (2) The forms of business ownership of SMEs are either sole proprietorship or partnership.
- (3) SMEs are usually managed by their owners.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

9. DSE2019 – 13

Which of the following statements about small and medium enterprises (SMEs) in Hong Kong is/are correct?

- (1) The number of employees account for around 80% of total employment (excluding civil service) in Hong Kong.
- (2) They can operate as a limited company.
- (3) The annual sales revenue of an SME must be below \$5 million.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

10. DSE2019 – 21

Which of the following statements about entrepreneurs are correct?

- (1) They are willing to take on challenges
- (2) They promote economic growth by creating job opportunities
- (3) They promote market competition by introducing new products and services.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

11. DSE2021 – 21

Which of the following statements about small and medium enterprises (SMEs) in Hong Kong is correct?

- A. The scale of an SME is so small that it cannot practise division of work.
- B. The owners enjoy limited liability.
- C. Most of them are engaged in secondary industries.
- D. Enterprises in the non-manufacturing sector with fewer than 50 employees are SMEs.

12. DSE2022 – 2

Which of the following statements about small and medium enterprises (SMEs) in Hong Kong is/are correct?

- (1) Most of them are engaged in the import/export trade and wholesale industries.
- (2) An enterprise with total asset value under \$1 million is an SME.
- (3) SMEs employ about 90% of the working population.

- A. (1) only
- B. (2) only
- C. (1) and (3) only
- D. (2) and (3) only

13. DSE2023 – 18

Which of the following statements about small and medium enterprises (SMEs) in Hong Kong is/are correct?

- (1) They provide complementary services and support to large enterprises.
- (2) They serve narrow markets which are not covered by large enterprises.
- (3) More than 90% of businesses in Hong Kong are SMEs.

- A. (1) only
- B. (1) and (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

14. DSE2023 – 22

Which of the following statements about the contribution of entrepreneurs is/are correct?

- (1) help implement government economic policies
- (2) help promote economic growth
- (3) widen the variety of products in the market

- A. (1) only
- B. (2) only
- C. (2) and (3) only
- D. (1), (2) and (3)

15. DSE2024 – 28

Which of the following statements about entrepreneurs are correct?

- (1) They are receptive to innovative ideas.
- (2) They are willing to take risks.
- (3) They operate a firm in the form of sole proprietorship.

- A. (1) and (2) only
- B. (1) and (3) only
- C. (2) and (3) only
- D. (1), (2) and (3)

Short Questions

1. DSE2018 – 2(a)(b)

Calvin set up a supermarket selling Korean food. To attract customers and enhance competitiveness, the supermarket continually introduces new products. Some of these cannot be found in big local supermarkets. The supermarket has been selected as an outstanding small and medium enterprise, and Calvin has been praised as an outstanding entrepreneur.

- (a) Apart from the number of employees, state two other characteristics of small and medium enterprises. (2 marks)
- (b) With reference to the case above, explain two contributions of entrepreneurship to the development of business. (4 marks)

2. DSE2020 – 1(a)

High-Tech Company is a small and medium enterprise (SME) which specialises in developing data processing systems for businesses in Hong Kong. At the commencement of each quarter, the project manager and the programmers discuss and decide on the work plan of the quarter. Throughout the quarter, they review the work progress regularly and identify the difficulties encountered. Support is provided to the programmers based on their feedback.

- (a) Apart from providing job opportunities, state two contributions SMEs make to the economy of Hong Kong. (2 marks)

3. DSE2022 – 5(b)

On 1 January 2022, Cherry commenced a business selling health supplements. She also works as the General Manager of the business. There are three departments in the business: the Sales and Marketing Department; the Purchasing and Storing Department; and the Administration and Finance Department. Two branches are under the charge of the Sales and Marketing Department: wholesale and retail.

- (b) Entrepreneurs, like Cherry, are important to the business development of Hong Kong. Give two reasons why they are important. (2 marks)

4. DSE2024 – 1(a)

Mr Lee runs a household appliances shop in Hong Kong in the form of sole proprietorship. It is a small and medium enterprise.

- (a) Apart from the number of employees, state two characteristics of Mr Lee's firm as an SME. (2 marks)

Name:
Class:
Class No: